Content

Open guidance

What is it, and why is it important?

Complete

What, precisely, is gap analysis?

- Gap analysis is a **tool** used to identify the difference between the current state and the desired future state in an organisation or process.
- It measures current performance, compares it to the desired outcome, and identifies the gaps that need addressing.
- It aids in decision making, risk reduction, and optimal use of resources by illuminating the most effective ways to address gaps.

Let's look at an example.

An example of gap analysis



Imagine you run an online e-commerce business specialising in selling knitted scarves in neutral colours. Over the past four months, you have noticed a significant decrease in sales, which prompts you to investigate the issue.

You decide to focus specifically on customer engagement on your platform because your investigation showed that this has been the biggest blocker to increasing sales. Your analysis and change strategy won't extend to other business aspects such as pricing strategy, shipping and delivery, or customer service.

Consult

You consult with customers to gather their input on different elements of the e-commerce experience, such as the website's advertising of the merchandise and the product range offered.

Your goal is to improve your sales and align your product offerings with current market trends, by making your e-commerce business more appealing to customers. You want to achieve sales numbers comparable to competitors in the industry.

Compare

Comparing your current e-commerce experience with those of your competitors, you notice that they offer a wider range of products and varieties of colours. Additionally, they have websites offering information about the sellers and the origin of their products, fostering trust and connection with customers. You deduce that the root cause of your declining sales is substandard marketing to reach and sustain customers.

To bridge this gap, you consider revamping your website to share your story, passion for knitting, and the origin of your scarves and knitting materials. You also consider introducing two new brighter colours, yellow and pink, for your scarves, to make your product line more colourful and appealing to customers.

Create

You create a plan for implementing these strategies and monitoring the impact of the changes on your sales. Regular review will help maintain a connected customer base and adapt to the dynamic market trends.

Why do we use gap analysis?

Gap analysis helps organisations understand what they need to do to meet their goals. Businesses perform gap analyses to identify the difference between where they are now and where they want to be in areas such as processes, technologies and capabilities. Gap analysis provides a framework for evaluating those differences, identifying the causes, and informing the steps needed to bridge the gap.

Gap analysis can be performed on two levels: a strategic level and an operational level.

Strategic level



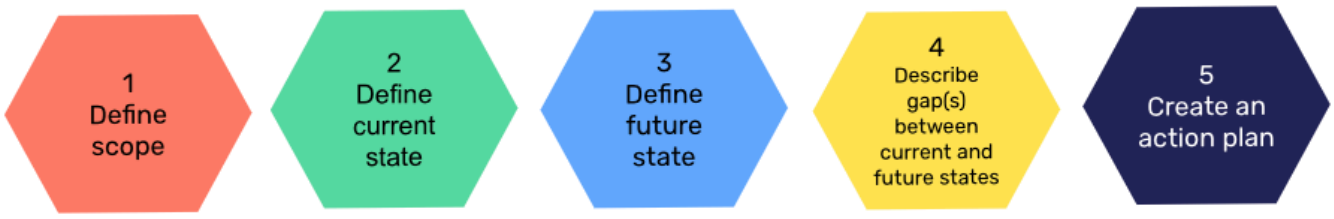
The strategic level of gap analysis involves comparing the condition of your business with that of the industry standards, using other businesses within your industry. An example is comparing McDonalds to Burger King. By comparing your business to another business you can derive a desired future state that improves your own business.

Operational level

The operational level of gap analysis involves comparing current processes and operations to future processes and operations that are needed to achieve business goals. An example of this is Starbucks. Their speedy growth and focus on efficiency had led to stores becoming increasingly standardised, which started to erode the unique, personal experience customers expected from Starbucks. They compared their current customer service operations to an ideal version that maximises customer satisfaction, and identified gaps to address.

So, how do you perform a gap analysis?

Gap analysis involves several steps:



The steps of a gap analysis:

1️⃣ Define the scope

Your investigation should yield a problem statement, clearly defining the problems that need addressing. These problems will determine the boundaries and granularity of the gap analysis you'll complete. This will inform whether your gap analysis will be applied on the strategic or operational level.

2️⃣ Define the current state

Next, you need to determine the current state of the process you're aiming to improve. The current state will be informed by the scope you determined in Step 1.

3️⃣ Define the future state

Get clear on where you want the business to be in the future. This can be informed by industry standards, business objectives, or what success looks like for specific processes and systems.

Adding metrics for success enables you to specify how you will measure the extent to which the current state gaps have been addressed. Clear KPIs (Key Performance Indicators) allow you to be specific about where you want to be and what success looks like.

4️⃣ Identify the gaps between the current and future states

Describe the core differences between the current and future states, and identify what is causing those differences. Often, identifying the differences between the current state and the future state illuminates a particular process or operation that needs to be improved. In this case, you would then create a future state process model for just that process and compare

it to the current process to identify gaps.

5️⃣ **Create an action plan**

State what needs to be done to close the gap between the current state and the future state. Develop a strategy for implementing these actions.

Clarity and precision in each step will help ensure your gap analysis is effective in creating the business change.

What's the relationship between a gap analysis and a problem statement?

- A **problem statement** guides the investigation and benchmarks the desired state.
- A **gap analysis** contrasts the current versus desired state to reveal gaps, so they can be addressed.

A well-crafted problem statement is crucial for effective gap analysis. The problem statement clearly defines the issue or opportunity being addressed, which focuses the investigation.

Techniques such as surveys, interviews, and data analysis then uncover the **current state** of the situation. With the desired **future state** in mind, gap analysis compares it with the current state to reveal gaps.

For example ...

A problem statement might be “Company X has declining customer satisfaction ratings, which is leading to decreasing customer retention and lower revenue.” Investigation of the current state paints a picture of the current customer defection rate and declining revenue. It details all of the processes that customers currently engage with.

Company X sets targets for customer retention and revenue increase in an ideal future state. Comparing this future state with the current state reveals

exactly how far they are from their targets, and illuminates that length wait times are mentioned most frequently in customer complaints.

So, a future state process model of an ideal customer engagement process is compared with a process model of the current customer engagement process. Comparing these two process models reveals that the current process does not effectively prioritise customer inquiries, which leads to inefficiencies in responding.

In this example, the strategic-level gap analysis revealed specific processes that needed updating, and then the operational-level gap analysis revealed the specific gaps within that process that were causing the larger problem.

Mark as incomplete

Asynchronous module introduction
Setting up for success

Gap Analysis
Setting the stage for gap an...